

Undertaking to the Australian Competition and Consumer Commission

Given under section 87B of the *Competition and
Consumer Act 2010* (Cth) by AGL Energy
Limited

1 Person giving the Undertaking

- 1.1. This Undertaking is given to the Australian Competition and Consumer Commission (**ACCC**) by AGL Energy Limited ACN 115 061 375 of level 22, 101 Miller Street, North Sydney, NSW, 2016 for the purposes of section 87B of the *Competition and Consumer Act 2010* (Cth) (**Act**) on behalf of itself and its subsidiaries (together referred to as (**AGL**)).
- 1.2. AGL is incorporated under the Corporations Act and registered in NSW.

2 Background

Parties

- 2.1. AGL is an energy company listed on the Australian Securities Exchange. It has a range of retail and wholesale electricity interests in the NEM. AGL does not have any generation assets that are scheduled generating units (as defined in the National Electricity Rules) in NSW; however, it has significant generation assets that are scheduled generating units in Victoria (Loy Yang A power station and several hydro-electric power stations) and South Australia (Torrens Island power station).
- 2.2. AGL is also one of the three major energy retailers (together with Origin and EnergyAustralia), having a significant retail electricity customer base in each region of the NEM (except for Tasmania). AGL has approximately 16% of retail electricity load in NSW in total (including both small and large customers), and approximately 24% of electricity retail customer load associated with residential and small business electricity ('mass market') customers in NSW.
- 2.3. The Target Company is a NSW state-owned corporation. The key assets of the Target Company are the Bayswater and Liddell power stations (that are scheduled generating units) together with the relevant associated wholesale risk management portfolio and major contracts (including a long term hedge arrangement with the Tomago aluminium smelter).

Proposed Acquisition

- 2.4. The Target Company is being offered for sale as part of the broader privatisation of NSW electricity generation assets being undertaken by the NSW Government. AGL has submitted a bid to the NSW Government and entered into a binding sale agreement for the acquisition of the assets of the Target Company. Completion of the Proposed Transaction is subject to the Proposed Acquisition receiving clearance from the ACCC.

ACCC's review

- 2.5. On 2 December 2013 the ACCC commenced its public review of the Proposed Acquisition. The ACCC undertook extensive market inquiries and considered information provided by the parties, industry participants and others. The ACCC's inquiries were aimed at assessing whether or not the Proposed Acquisition would have the effect of substantially lessening competition in a market in contravention of section 50 of the Act.

ACCC's competition concerns

- 2.6. On 6 February 2014, the ACCC released a Statement of Issues in relation to the Proposed Acquisition.
- 2.7. The Statement of Issues identified that the ACCC's preliminary view was that the Proposed Acquisition raised significant competition issues in relation to the retail supply of electricity in NSW. The ACCC noted that the Proposed Acquisition may result in:
- (a) *A significant reduction of liquidity in the supply of hedge contracts due to the reduced volume of hedge contract trading as AGL's retail load will be supported with a natural hedge. This may potentially increase the risk of spot price exposure for independent retailers and, in turn, discourage participation in those markets and/or increase risk premiums in forward hedge contracts.*
 - (b) *The increased ability and incentive of AGL to withhold competitively priced and customised hedge contracts to independent retailers. This would occur as a result of the changed incentives that AGL would have in the supply of hedge contracts backed by Macquarie Generation to independent retailers that compete with its retail arm.*

Undertaking remedy

- 2.8. AGL does not consider or accept that the Proposed Acquisition will, or is likely to, result in a substantial lessening of competition in any relevant market or otherwise give rise to competition concerns. However, without admission, AGL offers this Undertaking to the ACCC pursuant to section 87B of the Act in order to avoid delay and address the ACCC's preliminary concerns as identified in the Statement of Issues.

3 Commencement of this Undertaking

Commencement

- 3.1. This Undertaking comes into effect when:
- (a) this Undertaking is executed by AGL; and
 - (b) this Undertaking so executed is accepted by the ACCC,
- (Commencement Date).

4 Cessation of this Undertaking

Withdrawal and termination

- 4.1. Unless clause 4.2 applies, this Undertaking terminates on the earlier of the date:
- (a) which is five years and three months after the Completion Date; or
 - (b) stipulated in the ACCC's written consent to the withdrawal of this Undertaking in accordance with section 87B of the Act.

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Termination if parties will not complete

- 4.2. This Undertaking will terminate if AGL has notified the ACCC in writing that the parties will not complete the Proposed Acquisition.

Termination if AGL is no longer in control or no longer has ownership

- 4.3. This Undertaking will terminate immediately if AGL ceases to be in Control, or the owner, of the Generation Assets.

Revocation

- 4.4. The ACCC may, at any time, revoke its acceptance of this Undertaking if the ACCC becomes aware that any information provided to it by AGL for the purposes of the ACCC undertaking its public review of the Proposed Acquisition or monitoring AGL's conduct under this Undertaking was incorrect, inaccurate or misleading.

Waiver

- 4.5. The ACCC may, at any time, expressly waive in writing any of the obligations contained in this Undertaking or amend the date by which any such obligation is to be satisfied.

Survival

- 4.6. Clauses 1, 4, 6.13, 6.14, 6.15, 6.16(d), 9, 11, 12, 13 and 14 survive the expiry of the Liquidity Obligation Term.

5 Undertaking to provide liquidity to the NSW contracts market

Definitions

- 5.1. The **Obligation Quantity** is, for each Trading Interval of the Liquidity Obligation Term:
- (a) 500MW of Products (being a notional quantity of 250MWh) for that Trading Interval, less the Target Company Adjustment less the notional quantity for all Products involving AGL which are entered into by the methods specified in clauses 5.5(a), 5.5(b) or 5.5(b) for that Trading Interval on or after the Completion Date; and
 - (b) zero, if the amount calculated under clause 5.1(a) is less than zero,
- where the **Target Company Adjustment** is, for each Trading Interval of the Liquidity Obligation Term, the notional quantity for all Products involving the Target Company to a Retailer for that Trading Interval on or before the Completion Date.

- 5.2. The **Price Obligation Quantity** for each Trading Interval the subject of a request by a Retailer under clause 5.8 is the lesser of:
- (a) 50MW (being a notional quantity of 25MWh) less the notional quantity of any Products involving AGL and other Retailers for all Trading Intervals occurring on and from the start date and ending on the end date of the requested Product already entered into on the day of the request by that Retailer; and
 - (b) the Obligation Quantity; and
 - (c) zero, if the Obligation Quantity or the amount calculated under clause 5.2(a) is less than zero.
- 5.3. For the purposes of calculating the notional quantity of a Product, where:
- (a) the notional quantity for the Product is not constant, then the notional quantity will be the maximum notional quantity applicable to that Product during the calendar month in which the Trading Interval falls; and
 - (b) the Product includes a call option, then the notional quantity will be the notional quantity that would have applied if the call option had been exercised by the counterparty to the transaction.
- 5.4. The **Availability Window** is:
- (a) prior to the first anniversary of the Liquidity Obligation Term, the number of Trading Days calculated by multiplying 120 by the number of days that have elapsed from the Completion Date to the beginning of the Quarter in which the relevant Trading Interval falls and dividing by 365, during the time since the Completion Date; and
 - (b) on and from the first anniversary of the commencement of the Liquidity Obligation Term, 120 Trading Days during the 12 months prior to the relevant Trading Interval.

Undertaking to sell the Obligation Quantity

- 5.5. Subject to clause 5.10, on and from the Completion Date, AGL will offer to enter into Products for each Trading Interval of the Liquidity Obligation Term until the Obligation Quantity for that Trading Interval is equal to zero by using one or more of the following methods:
- (a) entering into a Product with Retailers without using an Electricity Broking Service provided that the Retailer complies with clause 5.6;
 - (b) placing one or more orders to an Electricity Broking Service that may be accepted by Eligible Participants provided that the Eligible Participant complies with clause 5.6; and
 - (c) placing one or more price and quantity orders on an Electricity Futures Exchange.

Terms

5.6. For any Product which AGL offers to enter into with an Eligible Participant:

- (a) if the Eligible Participant and AGL have entered into an ISDA Master Agreement that has not terminated or expired prior to the entry into of the Product, then the Product will be subject to the terms of that ISDA Master Agreement;
- (b) if clause 5.6(a) does not apply, then the Product will be subject to a condition that the Eligible Participant and AGL enter into an ISDA Master Agreement between the Eligible Participant, and that ISDA Master Agreement must be consistent with AGL's Counterparty Trading Arrangement; and
- (c) if it is an Exchange Product, then the Product will be executed in accordance with the rules of the relevant Electricity Futures Exchange,

and the offer of that Product will be subject to the Eligible Participant complying with AGL's Counterparty Trading Requirements for that Product.

Negotiation for the sale of Products to Retailers

5.7. On and from the Completion Date on a Business Day, if a Retailer requests to enter into a Product with AGL during the Liquidity Obligation Term where the first Trading Interval the subject of the proposed Product at request commences no earlier than the first Trading Interval of the next Quarter, then AGL will negotiate the terms of that Product in good faith with that Retailer.

5.8. On and from the Completion Date and subject to clause 5.9, if a Retailer requests AGL to enter into a Product:

- (a) where the first Trading Interval the subject of the proposed Product is no earlier than the first Trading Interval of the next Quarter; and
- (b) that is equivalent to an Exchange Product,

then AGL will offer a notional quantity up to the Price Obligation Quantity for each relevant Trading Interval for which the Retailer has made a request at a price no greater than the higher of:

- (c) 2% above the Trading Day's clearing price for the equivalent Exchange Product on the Electricity Futures Exchange on which the equivalent Exchange Product is traded on the Trading Day immediately before the day that the request was made by the Retailer; and
- (d) the price of the last trade for the equivalent Exchange Product on the Electricity Futures Exchange on which the equivalent Exchange Product is traded for which AGL was not a party on the day that the request was made by that Retailer.

5.9. AGL will not be under any obligation to enter into one or more Products with a Retailer for a Trading Interval if the Obligation Quantity for that Trading Interval is equal to zero.

Obligation Quantity does not equal zero

5.10. For any Trading Interval during the Liquidity Obligation Term in which the Obligation Quantity is not equal to zero, AGL must have, and must be able to demonstrate that it has, for a number of Trading Days which is not less than the Availability Window prior to the beginning of the Quarter within which that Trading Interval falls:

- (a) made one or more offers to enter into Products that satisfy clause 5.11 with one or more Retailers, which Products included that Trading Interval, without using an Electricity Broking Service, which remained open for acceptance for a minimum of one hour; or
- (b) placed one or more orders to sell Products to Eligible Participants that satisfy clause 5.11 with an Electricity Broking Service between 9am and 5pm on any Business Day, which Products included that Trading Interval, which remained open for acceptance for a period not less than one hour; or
- (c) placed one or more orders to sell Products that satisfy clause 5.11 on an Electricity Futures Exchange, which Products included that Trading Interval, which remained open for acceptance for a period of not less than one hour,

and that the Products offered to Retailers under clause 5.10(a), the orders to sell Products placed with an Electricity Broking Service under clause 5.10(b) and the orders to sell Products placed on an Electricity Futures Exchange under clause 5.10(c) were not accepted or, if one or more offers or orders were accepted, were not accepted sufficiently so that the Obligation Quantity for that Trading Interval would equal zero (as calculated on the day of the relevant offer or order (as applicable)).

5.11. An offer to enter into a Product or order to sell Products made by AGL under clause 5.10 must:

- (a) if the offer is made to one or more Retailers without using an Electricity Broking Service pursuant to clause 5.10(a), be:
 - (i) in writing; and
 - (ii) for capacity no less than 20MW (being a notional quantity of 10MWh) for any Trading Interval;
- (b) if the offer is made under clause 5.10(a) or an order is placed under 5.10(b), be for a Product that is equivalent to an Exchange Product;
- (c) if the order is placed under clause 5.10(b) or 5.10(c) be placed on recorded lines of which AGL will keep a written record (with such record being auditable by reference to the tapes of the recorded lines); and
- (d) if the order is placed under clause 5.10(a), 5.10(b) or 5.10(c) have a price that is no greater than the higher of:
 - (i) 2% above the previous Trading Day's clearing price for the equivalent Exchange Product on the Electricity Futures Exchange on which the equivalent Exchange Product is traded on the Trading Day immediately before the day that the order was placed with the Electricity Broking Service or placed on an Electricity Futures Exchange; and

- (ii) the price of the last trade for the equivalent Exchange Product on the Electricity Futures Exchange on which the equivalent Exchange Product is traded for which AGL was not a party on the day that the order was placed with the Electricity Broking Service or placed on an Electricity Futures Exchange; and
- (e) if the offer or order is made under clause 5.10(a) or 5.10(b), be in a form capable of acceptance by an Eligible Participant that satisfies clause 5.6; and
- (f) the price of the Product may be adjusted between that offered when:
 - (i) the offer is made to one or more Retailers (in accordance with clause 5.10(a)); or
 - (ii) when the order is placed with an Electricity Broking Service or with an Electricity Futures Exchange,

to take account of any differences in costs (including taxes) that apply to that Product arising from any obligation, tax, charge or levy imposed on AGL as the owner of the Generation Assets for, or the transaction terms for the Product relating to, the management of greenhouse gas emissions or concentrations.

6 Independent audit

Obligation to appoint an Approved Independent Auditor

- 6.1. AGL must appoint and maintain an Approved Independent Auditor to audit and report on AGL's compliance with this Undertaking.
- 6.2. Without limiting its obligations in this Undertaking, AGL must:
 - (a) comply with and enforce the Approved Terms of Appointment for the Approved Independent Auditor;
 - (b) maintain and fund the Approved Independent Auditor to carry out his or her functions including:
 - (i) indemnifying the Approved Independent Auditor for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Independent Auditor of his or her functions as the Approved Independent Auditor except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Independent Auditor;
 - (ii) providing and paying for any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor; and
 - (c) not interfere with, or otherwise hinder, the Approved Independent Auditor's ability to carry out his or her functions as the Approved Independent Auditor, including:

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- (i) directing AGL personnel, including directors, contractors, managers, officers, employees and agents, to act in accordance with this clause 6;
- (ii) providing access to the facilities, sites or operations of AGL as required by the Approved Independent Auditor;
- (iii) providing to the Approved Independent Auditor any information or documents requested by the Approved Independent Auditor that he or she considers necessary for carrying out his or her functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC;
- (iv) not requesting any information relating to the compliance audit from the Approved Independent Auditor without such a request having been approved by the ACCC; and
- (v) not appointing the Approved Independent Auditor, or having any Agreements with the Approved Independent Auditor, to utilise the Approved Independent Auditor's services for anything other than compliance with this Undertaking until at least 12 months after the Approved Independent Auditor ceases to act in the role of the Approved Independent Auditor.

Approval of the Approved Independent Auditor

- 6.3. At least 15 Business Days before the Completion Date, AGL must provide the ACCC with a notice for a Proposed Independent Auditor in the form prescribed in Schedule 2 to this Undertaking (**Proposed Independent Auditor Notice**).
- 6.4. After receiving a notice for a Proposed Independent Auditor Notice, the ACCC must decide whether to:
 - (a) approve the appointment of the person named in the Proposed Independent Auditor Notice as the Approved Independent Auditor which includes approving the:
 - (i) terms of appointment attached to the Proposed Independent Auditor Notice; and
 - (ii) draft audit plan attached to the Proposed Independent Auditor Notice; or
 - (b) not approve the person named in the Proposed Independent Auditor Notice as the Proposed Independent Auditor, and
 - (i) identify and approve a person as the Approved Independent Auditor;
 - (ii) approve the terms of appointment;
 - (iii) approve a draft audit plan; and
 - (iv) direct the appointment of the Approved Independent Auditor on the approved terms of appointment.

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- 6.5. Without limiting the ACCC's discretion in making the decision described in clause 6.4, the factors to which the ACCC may have regard include whether the:
- (a) person named in the Proposed Independent Auditor Notice or identified by the ACCC has the qualifications and experience necessary to carry out the functions of the Approved Independent Auditor;
 - (b) person named in the Proposed Independent Auditor Notice or identified by the ACCC is sufficiently independent of AGL;
 - (c) terms of appointment and the draft audit plan are consistent with this Undertaking; and
 - (d) terms of appointment and the draft audit plan are otherwise acceptable to the ACCC.
- 6.6. Within 10 Business Days after receiving a Proposed Independent Auditor Notice, the ACCC must notify AGL in writing of its decisions and any direction made pursuant to clause 6.4.
- 6.7. The ACCC may extend the period within which it will provide notice of the decision or direction (if applicable) described in clause 6.6 by notifying AGL in writing of the extension within 10 Business Days after receiving the Proposed Independent Auditor Notice.
- 6.8. If:
- (a) an Approved Independent Auditor has not been appointed by the Completion Date; or
 - (b) a new Approved Independent Auditor has not been appointed within 17 Business Days after the Approved Independent Auditor resigns or otherwise ceases to act as the Approved Independent Manager pursuant to clause 6.19, 6.20 and 6.21,
- and the reason for an Approved Independent Auditor not being appointed is not the extension of time period specified in 6.6 by the ACCC under clause 6.7, then the provisions of clause 6.9 apply.
- 6.9. If clause 6.8 applies, the ACCC at its absolute discretion may:
- (a) identify and approve a person as the Approved Independent Auditor;
 - (b) prepare and approve the terms of appointment of the Approved Independent Auditor; and
 - (c) prepare and approve an audit plan.
- 6.10. Within 10 Business Days of the occurrence of the relevant event specified in clause 6.8, the ACCC must notify AGL in writing of its decision made pursuant to clause 6.9.
- 6.11. The ACCC may extend the period within which it will provide notice of the decision described in clause 6.10 by notifying AGL in writing of the extension within 10 Business Days of the occurrence of the relevant event specified in clause 6.8.

Appointment of the Approved Independent Auditor

- 6.12. After receiving notice from the ACCC of its decision pursuant to clause 6.4 or 6.9 (as applicable), AGL must, within two Business Days:
- (a) appoint the person approved by the ACCC as the Approved Independent Auditor on the Approved Terms of Appointment; and
 - (b) forward to the ACCC a copy of the executed Approved Terms of Appointment within one Business Day of execution.

Obligations and powers of the Approved Independent Auditor

- 6.13. AGL must procure that any proposed terms of appointment for the Approved Independent Auditor include obligations on the Approved Independent Auditor to:
- (a) maintain his or her independence from AGL, apart from appointment to the role of Approved Independent Auditor, including not form any relationship of the types described in paragraph 2(c) of Schedule 2 to this Undertaking with AGL for the period of his or her appointment;
 - (b) conduct compliance auditing according to the Approved Audit Plan;
 - (c) provide the following reports directly to the ACCC:
 - (i) a scheduled written Audit Report as described in clause 6.15; and
 - (ii) an immediate report of any issues that arise in respect of the performance of his or her functions as Approved Independent Auditor or in relation to compliance with this Undertaking by any person named in this Undertaking; and
 - (d) acknowledge that it will require access to confidential information of AGL in performing his or her functions as Approved Independent Auditor;
 - (e) execute and provide to AGL, prior to the performance of any services, a confidentiality deed poll, which will:
 - (i) require the Approved Independent Auditor to keep any information received from AGL in the performance of its functions as Approved Independent Auditor confidential;
 - (ii) require the Approved Independent Auditor to return any information received from AGL in the performance of its functions as Approved Independent Auditor at the end of his or her term as Approved Independent Auditor;
 - (iii) prohibit the Approved Independent Auditor from using any information received from AGL in the performance of its functions as Approved Independent Auditor for any purpose other than the provision of an Audit Report; and
 - (iv) prohibit the Approved Independent Auditor from disclosing any information received from AGL in the performance of its functions as Approved Independent Auditor; and

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- (f) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Independent Auditor under this Undertaking.
- 6.14. AGL must procure that any proposed terms of appointment for the Approved Independent Auditor provide the Approved Independent Auditor with the authority to:
- (a) access the facilities, sites or operations of AGL as required by the Approved Independent Auditor;
 - (b) access any information or documents that the Approved Independent Auditor considers necessary for carrying out his or her functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC; and
 - (c) engage any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor.

Compliance audit

- 6.15. The Approved Independent Auditor must conduct an audit and prepare a detailed report (**Audit Report**) that includes:
- (a) the Approved Independent Auditor's procedures in conducting the audit, or any change to audit procedures since the previous Audit Report;
 - (b) to the extent feasible, a thorough audit of AGL's compliance with this Undertaking;
 - (c) areas of uncertainty or ambiguity in the Approved Independent Auditor's interpretation of any obligations contained in this Undertaking;
 - (d) all of the reasons for the conclusions reached in the Audit Report;
 - (e) any qualifications made by the Approved Independent Auditor in forming his or her views;
 - (f) any recommendations by the Approved Independent Auditor to improve:
 - (i) the Approved Audit Plan;
 - (ii) the integrity of the auditing process;
 - (iii) AGL's processes or reporting systems in relation to compliance with this Undertaking; and
 - (iv) AGL's compliance with this Undertaking; and
 - (g) the implementation and outcome of any prior recommendations by the Approved Independent Auditor.

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The Approved Independent Auditor must ensure that the Audit Report does not include any information that identifies any Eligible Participant or Retailer with which AGL has entered into a Product other than as a member of a class of Eligible Participants or Retailers.

- 6.16. The Approved Independent Auditor is to provide an Audit Report to the ACCC and AGL at the following times:
- (a) within 20 Business Days after the first anniversary of the Completion Date, at which time the Audit Report is to include the results of the initial audit and any recommended changes to the Approved Audit Plan, including the Approved Independent Auditor's procedures in conducting the audit (**Establishment Audit**);
 - (b) every 12 months after the date that the Audit Report for the Establishment Audit is provided during the Liquidity Obligation Term;
 - (c) otherwise at the request of the ACCC until the final Audit Report has been provided and the ACCC notifies AGL in writing that the obligations with respect to the final Audit Report have been completed; and
 - (d) a final report due three months after the expiry of the Liquidity Obligation Term.
- 6.17. AGL must implement any recommendations of the Approved Independent Auditor made in the Audit Report, and notify the ACCC of the implementation of the recommendations, within 10 Business Days after receiving the Audit Report or such other period as agreed in writing with the ACCC.
- 6.18. AGL must comply with any direction of the ACCC in relation to matters arising from the Audit Report within 10 Business Days after being so directed (or such other period as agreed in writing with the ACCC).

Resignation, revocation or termination of the Approved Independent Auditor

- 6.19. AGL must immediately notify the ACCC in the event that the Approved Independent Auditor resigns or otherwise stops acting as the Approved Independent Auditor prior to the ACCC terminating this Undertaking pursuant to clause 4.1, revoking this Undertaking pursuant to clause 4.4 or waiving the obligations under clause 6 pursuant to clause 4.5.
- 6.20. The ACCC may revoke an Approved Independent Auditor's status as the Approved Independent Auditor if the ACCC becomes aware that any information provided to it by the Approved Independent Auditor in carrying out its duties under this Undertaking and the Approved Terms of Appointment was incorrect, inaccurate or misleading.
- 6.21. The ACCC may approve any proposal by, or alternatively may direct, AGL to terminate the appointment of the Approved Independent Auditor if in the ACCC's view the Approved Independent Auditor acts inconsistently with the provisions of this Undertaking or the Approved Terms of Appointment.
- 6.22. If clause 6.17, 6.18 or 6.19 applies, AGL must provide the ACCC with a Proposed Independent Auditor Notice within five Business Days after the relevant event occurs and clauses 6.4 to 6.11 will apply to the appointment of a new Approved Independent Auditor.

7 Information

- 7.1. AGL must notify the ACCC and the Approved Independent Auditor (if appointed) in writing of the Completion Date at least two Business Days prior to the occurrence of the Completion Date.
- 7.2. The ACCC may direct AGL in respect of its compliance with this Undertaking to, and AGL must:
- (a) furnish information to the ACCC in the time and in the form requested by the ACCC;
 - (b) produce documents and materials to the ACCC within AGL's custody, power or control in the time and in the form requested by the ACCC; and/or
 - (c) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have,
- provided that, and without limiting the powers of the ACCC under the Act, the ACCC will have no right to request under this Undertaking, and AGL no obligation to provide under this Undertaking, information held by AGL that is subject to a confidentiality obligation owed to a third party.
- 7.3. Any direction made by the ACCC under clause 7.2 will be notified to AGL in accordance with clause 13.
- 7.4. In respect of AGL's compliance with this Undertaking or an Approved Independent Auditor's compliance with its terms of appointment, the ACCC may request the Approved Independent Auditor to:
- (a) furnish information to the ACCC in the time and in the form requested by the ACCC;
 - (b) produce documents and materials to the ACCC within the Approved Independent Auditor's custody, power or control in the time and in the form requested by the ACCC; and/or
 - (c) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have.
- 7.5. AGL will use its best endeavours to ensure that the Approved Independent Auditor complies with any request from the ACCC in accordance with clause 7.4.
- 7.6. The ACCC may, in its discretion to be exercised in good faith:
- (a) advise the Approved Independent Auditor of any request made by it under this clause 7; and/or
 - (b) provide copies to any Approved Independent Auditor of any information furnished, documents and material produced or information given to it under this clause 7.
- 7.7. Information furnished, documents and material produced or information given in response to any request or direction from the ACCC under this clause 7 may be used by the ACCC for any purpose consistent with the exercise of its statutory duties.

- 7.8. Nothing in this clause 7 requires the provision of information or documents in respect of which AGL has a claim of legal professional or other privilege.

8 Review

Review Event

- 8.1. **Review Event** means any of the following events:

- (a) an industrial dispute;
- (b) a declared or undeclared war or a revolution or any riot or civil commotion;
- (c) an act of God including, without limitation, fire, flood or other natural disaster;
- (d) an act of sabotage or vandalism;
- (e) a significant plant or equipment failure that is unusual in nature and could not have been reasonably expected but excluding any failure which is predictable in nature but uncertain in timing;
- (f) the withdrawal of all or part of one or more of the Generation Assets or the extra high voltage network transmission system used to transmit electricity in bulk to supply connection or network transmission services, as the case may be, necessary in order to:
 - (i) comply with a lawful direction given in connection with an emergency which in any way endangers or threatens to endanger the safety or health of any person or which damages or destroys, or threatens to damage or destroy, any property or endangers, or threatens to endanger, the environment or an element of the environment; or
 - (ii) avoid serious and immediate risks of a significant plant or equipment failure that is unusual in nature excluding any failure which is predictable in nature but uncertain in timing; or
- (g) a failure of the owner or controller of an extra high voltage network transmission system used to transmit electricity in bulk to supply connection or network transmission services, which alone, or which when taken together with any other such event or events, has the effect of:
 - (i) reducing the electricity (expressed as a rate in MW) capable of being sent out by one or more of the Generation Assets by a proportion equal to or greater than 20% of AGL's normal generation capacity in NSW; or
 - (ii) reducing the electricity (expressed as a rate in MW) supplied to the wholesale customers of AGL by a proportion equal to or greater than 20% of AGL's normal generation capacity in NSW; or
- (h) change in the location of the NSW Regional Reference Node or a change in the boundaries or the number of regional reference nodes of the region (as defined in the National Electricity Rules) in which the NSW Regional Reference Node is located;

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- (i) the disappearance or permanent discontinuance or unavailability of the NSW Regional Reference Price; or
- (j) the material suspension of, or the material limitation imposed on, the trading of Products in Australia; or
- (k) action or inaction by any government authority including:
 - (i) any Applicable Change;
 - (ii) a failure by AEMO to announce or publish the NSW Regional Reference Price or the material suspension or permanent discontinuance or unavailability of AEMO,

where the event or events or reduction could not reasonably have been avoided by the operator of the Generation Assets acting in accordance with such Good Electricity Industry Practice as existed immediately prior to the relevant event.

Review Proposal

- 8.2. If a Review Event occurs, AGL must submit a proposal (**Review Proposal**) to the ACCC that:
- (a) describes the Review Event leading to the Review Proposal and an explanation as to how it satisfies the criteria set out in clause 8.1; and
 - (b) the response to the Review Event, which may include the variation or suspension of one or more obligations under this Undertaking, proposed by AGL.

ACCC determination

- 8.3. On receipt of a Review Proposal from AGL, the ACCC, acting reasonably, must:
- (a) determine whether a Review Event has occurred; and
 - (b) determine the response to that Review Event, which may include the variation or suspension of one or more obligations under this Undertaking,
- and notify AGL in writing of that determination within twenty Business Days of receipt of the Review Proposal from AGL.

Actions following a determination by the ACCC that a Review Event has occurred

- 8.4. If the ACCC determines that a Review Event has occurred following a Review Proposal made in accordance with clause 8.2, then this Undertaking will be varied or suspended to reflect the response to the Review Event determined by the ACCC under clause 8.3 and, for the avoidance of doubt, the ACCC will be taken to have consented to any such variation or suspension.

9 Disclosure of this Undertaking

- 9.1. AGL and the ACCC agree that Annexure 1 will remain confidential at all times.

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- 9.2. AGL acknowledges that the ACCC may provide the Approved Independent Auditor with a copy of this Undertaking which includes unredacted versions of Annexure 1.
- 9.3. AGL acknowledges that the ACCC may, subject to clause 9.1:
- (a) make this Undertaking publicly available; and
 - (b) publish this Undertaking on its Public Section 87B Undertakings Register and Public Mergers Register; and
 - (c) from time to time publicly refer to this Undertaking.
- 9.4. Nothing in clause 9 or the confidential parts of this Undertaking referred to in clause 9.1 prevents the ACCC from disclosing such information as is:
- (a) required by law;
 - (b) permitted by section 155AAA of the Act;
 - (c) necessary for the purpose of enforcement action under section 87B of the Act; or
 - (d) necessary for the purpose of making such market inquiries as the ACCC thinks fit to assess the impact on competition arising in connection with this Undertaking.
- 9.5. Nothing in clause 9.1 or the confidential parts of this Undertaking referred to in clause 9.1 prevents the ACCC from using the information contained in this Undertaking for any purpose consistent with its statutory functions and powers.

10 Obligation to procure

- 10.1. Where the performance of an obligation under this Undertaking requires a subsidiary of AGL to take or refrain from taking some action, AGL will procure that subsidiary to take or refrain from taking that action, as the case may be.

11 No derogation

- 11.1. This Undertaking does not prevent the ACCC from taking enforcement action at any time whether during or after the period of this Undertaking in respect of any breach by AGL of any term of this Undertaking.
- 11.2. Nothing in this Undertaking is intended to restrict the right of the ACCC to take action under the Act for penalties or other remedies in the event that AGL does not fully implement and/or perform its obligations under this Undertaking or in any other event where the ACCC decides to take action under the Act for penalties or other remedies.

12 Costs

- 12.1. AGL must pay all of its own costs incurred in relation to this Undertaking.

13 Notices

Giving Notices

- 13.1. Any notice or communication to the ACCC pursuant to this Undertaking must be sent to:

Email address: mergers@accc.gov.au
Attention: Executive General Manager
Mergers and Adjudication Group

With a copy sent to: mergersucu@accc.gov.au
Attention: Director, Undertakings Compliance Unit
Coordination and Strategy Branch
Mergers and Adjudication Group

- 13.2. Any notice or communication to AGL pursuant to this Undertaking must be sent to:

Name: Company Secretary
Address: Level 22, 101 Miller Street, North Sydney NSW 2060
Email Address: pmcwilliams@agl.com.au
Fax number: 02 9921 2395
Attention: Company Secretary

With a copy sent to:

Name: General Counsel
Address: Level 22, 101 Miller Street, North Sydney NSW 2060
Email Address: jfitzgerald@agl.com.au
Fax number: 02 9921 2395
Attention: General Counsel

- 13.3. If sent by post, notices are taken to be received three Business Days after posting (or seven Business Days after posting if sent to or from a place outside Australia).
- 13.4. If sent by email, notices are taken to be received at the time shown in the email as the time the email was sent.

Change of contact details

- 13.5. AGL or the ACCC must notify the other party of a change to its contact details within three Business Days.
- 13.6. Any notice or communication will be sent to the most recently advised contact details and subject to clause 13.3 and 13.4, will be taken to be received.

14 Defined terms and interpretation

Definitions in the Dictionary

14.1. A term or expression starting with a capital letter:

- (a) which is defined in the Dictionary in Part 1 of Schedule 1 (Dictionary), has the meaning given to it in the Dictionary; or
- (b) which is defined in the Corporations Act, but is not defined in the Dictionary, has the meaning given to it in the Corporations Act.

Interpretation

14.2. Part 2 of Schedule 1 sets out rules of interpretation for this Undertaking.

Executed as an Undertaking

Executed by AGL Energy Limited ACN 115 061 375 pursuant to section 127(1) of the *Corporations Act 2001* (Cth) by:

Signature of director

Signature of a director/company secretary [please
delete as applicable]

Name of director (print)

Name of director/company secretary (print)[please
delete as applicable]

Date

Date

Accepted by the Australian Competition and Consumer Commission pursuant to section 87B of the
Competition and Consumer Act 2010 (Cth) on:

Date

And signed on behalf of the Commission:

Chairman

Date

Schedule 1

1. Dictionary

ACCC means the Australian Competition and Consumer Commission established under section 6A of the Act.

Act means the *Competition and Consumer Act 2010* (Cth).

AEMO means Australian Energy Market Operator Limited ACN 072 010 327 or any other entity that operates the NEM.

AGL means AGL Energy Limited ACN 115 061 375.

AGL's Counterparty Trading Arrangement means the requirements that a counterparty to a Financial Derivative Product sold by AGL must satisfy as set out in Annexure 1.

Agreements means any contract, arrangement or understanding, including any contract, arrangement or understanding to renew, amend, vary or extend any contract, arrangement or understanding.

Applicable Change means a Change in Law, Change in Subsidy, Change in Tax or Change in Fees.

Approved Audit Plan means the plan approved by the ACCC in accordance with the terms of this Undertaking, as amended from time to time by an ACCC direction given under clause 6.13(d), by which the Approved Independent Auditor will audit and report upon compliance with this Undertaking.

Approved Independent Auditor means the person appointed under clause 6.12 of this Undertaking.

Approved Terms of Appointment means the terms of appointment for the Approved Independent Auditor, as approved by the ACCC in accordance with the terms of this Undertaking.

Associated Entity has the meaning given by section 50AAA of the Corporations Act.

ASX Futures Exchange means the market operated by ASX Energy Limited involving the trading of electricity futures and options.

Audit Plan means the audit plan approved by the ACCC.

Audit Report has the meaning given to that term in clause 6.15 of this Undertaking.

Australian Financial Services Licence means an Australian financial services licence granted under Chapter 7, Part 6 of the Corporations Act.

Availability Window has the meaning given to that term in clause 5.4 of this Undertaking.

Business Day means a day other than a Saturday or Sunday on which banks are open for business generally in New South Wales.

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Change in Fees means any change in the basis upon which any calculation relating to the determination of the liability of AGL to pay transmission fees or pool participation fees for one or more of the Generation Assets is made.

Change in Law means, in respect of AGL, the imposition of, change in (or change in application or official interpretation of) or removal of a Law applicable in respect of operational activities and business and affairs as a generator and wholesale seller of electricity, including the environmental aspects of those operational activities.

Change in Subsidy means, in respect of AGL, the provision of, change in or removal of a subsidy applicable in respect of operational activities and business and affairs as a generator and wholesale seller of electricity, including the environmental aspects of those operational activities.

Change in Tax means, in respect of AGL, the imposition of, change in (or change in application or official interpretation of) or repeal of a tax applicable in respect of operational activities and business and affairs as a generator and wholesale seller of electricity, including the environmental aspects of those operational activities.

Commencement Date means the date described in clause 3.1 of this Undertaking.

Completion Date means the date on which the Proposed Acquisition is completed.

Corporations Act means the *Corporations Act 2001* (Cth).

Electricity Broking Service means a firm or individual operating under an Australian Financial Services Licence that arranges transactions between a buyer and seller of electricity derivative contracts for an agreed commission upon successful deal execution.

Electricity Futures Exchange means the ASX Futures Exchange and any other lawfully established market involving the trading of electricity futures and options.

Eligible Participant means:

- (a) any Retailer; and
- (b) any person that holds an Australian Financial Services Licence other than AGL.

EnergyAustralia means EnergyAustralia Pty Ltd ABN 99 086 014 968 and its subsidiaries.

Entity Connected means such entities connected with a corporation as defined in section 64B of the Corporation Act.

Establishment Audit has the meaning given to it in clause 6.16(a) of this Undertaking.

Exchange Product means any Product listed on an Electricity Futures Exchange, and for the ASX Futures Exchange means those Products described in the "Contract Reference Guide" (or such other document setting out the types of Product available on the ASX Futures Exchange as published by the ASX Futures Exchange from time to time) as amended from time to time, which as at the date of this Undertaking are:

- (a) ASX Australian Electricity Base Futures (Base Load Month, Base Load Quarter and Base Load Calendar/Financial Year Strip);

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- (b) ASX Australian Electricity Peak Futures (Peak Load Quarter and Peak Load Calendar/Financial Year Strip);
- (c) ASX Australian Electricity \$300 Cap Futures (Base Load \$300 Caps and Base Load \$300 Caps Calendar/Financial Year Strip); and
- (d) ASX Australian Electricity Options (Options over Base Load Calendar/Financial Year Strip and Average Rate Options over Base Load Calendar Quarter Futures).

Expiry Date means the earlier of:

- (a) the date this Undertaking terminates under clause 4.1(a);
- (b) the date this Undertaking is withdrawn in accordance with section 87B of the Act under clause 4.1(b); and
- (c) the date the ACCC revokes its acceptance to this Undertaking in accordance with clause 4.2.

Generation Assets means the generation assets owned by the Target Company on the day prior to the Completion Date.

Good Electricity Industry Practice means the exercise of that degree of skill, diligence, providence and foresight that could reasonably be expected in relation to the operation of the Generation Assets, taking into account the size, duty, age, fuel type and technological status of the Generation Assets and any other relevant factor, from a significant proportion of operators of facilities located in Australia for the generation and supply of electricity.

Government Authority means the crown, a minister, a government department, a corporation or authority constituted for a public purpose, a holder of an office for a public purpose, a local authority, a court, and any officer, employee or agent of any of the foregoing acting as such.

ISDA Master Agreement means the 2002 ISDA Master Agreement published by the International Swaps and Derivatives Association, Inc. or such other version published by the International Swaps and Derivatives Association, Inc from time to time.

Law includes any treaty, law, rule or regulation of any government revenue authority.

Liquidity Obligation Term means the period commencing on the date that is six months after the Completion Date and ending on the fifth anniversary of the Completion Date.

MW means megawatts of electricity.

MWh means megawatt hours of electricity.

National Electricity Law means the National Electricity (NSW) Law as defined in the *National Electricity (New South Wales) Act 1997* (NSW).

National Electricity Rules means the National Electricity Rules under the National Electricity Law.

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NEM means:

- (a) the wholesale exchange operated and administered by the AEMO under the National Electricity Law and the National Electricity Rules; and
- (b) the national electricity system.

NSW means New South Wales.

NSW Regional Reference Node means the Sydney West 330kV node as determined under the National Electricity Rules.

NSW Regional Reference Price means the Regional Reference Price at the NSW Regional Reference Node by AEMO.

Obligation Quantity has the meaning given to that term in clause 5.1 of this Undertaking.

Origin means Origin Energy Limited ABN 30 000 051 696 and its subsidiaries.

Quarter means a calendar quarter ending on 30 June, 30 September, 31 December and 31 March.

Product means a transaction under which the amount of the consideration, or the value of the transaction, is ultimately determined, derived from or varies by reference to (wholly or in part) the value or amount of the NSW Regional Reference Price where:

- (a) if the transaction is an over the counter transaction, AGL (or the Target Company) is person who is to pay the floating price (regardless of whether the floating price is actually paid) (other than a transaction in the form of a put option); and
- (b) if the transaction involves an Exchange Product or a Product equivalent to an Exchange Product, AGL (or the Target Company) is the person who is to pay the cash settlement price.

Proposed Acquisition is defined in clause 2.4 of this Undertaking.

Proposed Independent Auditor means a person named in the Proposed Independent Auditor Notice.

Proposed Independent Auditor Notice means a completed notice in the form of Schedule 2 to this Undertaking provided to the ACCC with all required attachments in relation to the Proposed Independent Auditor.

Public Mergers Register means the ACCC's public register of merger clearances.

Public Section 87B Undertakings Register means the ACCC's public register of section 87B undertakings, available at www.accc.gov.au.

Regional Reference Node has the meaning given to that term in the National Electricity Rules.

Regional Reference Price has the meaning given to that term in the National Electricity Rules.

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Related Bodies Corporate has the meaning given to it by section 50 of the Corporations Act.

Related Entities has the meaning given to it by section 9 of the Corporations Act.

Related Parties has the meaning given to it by section 228 of the Corporations Act.

Retailer means any person who holds a retail authorisation for NSW issued under Part 5 of the National Energy Retail Law as applied in NSW by the *National Energy Retail Law (Adoption) Act 2012* (NSW) and:

- (a) holds an Australian Financial Services Licence or is otherwise exempt from the requirement to hold an Australian Financial Services Licence; or
- (b) a related body corporate of the person described in paragraph (a) holds an Australian Financial Services Licence or is otherwise exempt from the requirement to hold an Australian Financial Services Licence,

other than AGL, EnergyAustralia or Origin.

Review Event has the meaning given to that term in clause 8.1.

Review Proposal has the meaning given to that term in clause 8.2.

Subsidiary has the meaning given by section 4A of the Act.

Target Company means Macquarie Generation (registration number: U0921901) owned by the NSW State Government pursuant to the *State Owned Corporations Act 1989* (NSW) and the *Energy Services Corporation Act 1995* (NSW).

Target Company Adjustment has the meaning given to that term in clause 5.1 of this Undertaking.

Term means the period commencing on the Commencement Date and expiring on the Expiry Date.

Trading Day means a day that one or more Electricity Futures Markets is open for business.

Trading Interval a trading interval as that term is defined in the National Electricity Rules in NSW.

Undertaking is a reference to all provisions of this document, including its schedules and as varied from time to time under section 87B of the Act.

2. Interpretation

2.1 In the interpretation of this Undertaking, the following provisions apply unless the context otherwise requires:

- (a) a reference to this Undertaking includes all of the provisions of this document including its schedules;
- (b) headings are inserted for convenience only and do not affect the interpretation of this Undertaking;

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- (c) if the day on which any act, matter or thing is to be done under this Undertaking is not a Business Day, the act, matter or thing must be done on the next Business Day;
- (d) a reference in this Undertaking to any law, legislation or legislative provision includes any statutory modification, amendment or re-enactment, and any subordinate legislation or regulations issued under that legislation or legislative provision;
- (e) a reference in this Undertaking to any company includes its Related Bodies Corporate;
- (f) a reference in this Undertaking to any agreement or document is to that agreement or document as amended, novated, supplemented or replaced;
- (g) a reference to a clause, part, schedule or attachment is a reference to a clause, part, schedule or attachment of or to this Undertaking;
- (h) an expression importing a natural person includes any company, trust, partnership, joint venture, association, body corporate or governmental agency;
- (i) where a word or phrase is given a defined meaning, another part of speech or other grammatical form in respect of that word or phrase has a corresponding meaning;
- (j) a word which denotes the singular also denotes the plural, a word which denotes the plural also denotes the singular, and a reference to any gender also denotes the other genders;
- (k) a reference to the words 'such as', 'including', 'particularly' and similar expressions is to be construed without limitation;
- (l) a construction that would promote the purpose - or object - underlying the Undertaking (whether expressly stated or not) will be preferred to a construction that would not promote that purpose or object;
- (m) material not forming part of this Undertaking may be considered to:
 - (i) confirm the meaning of a clause is the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the competition concerns intended to be addressed by the Undertaking and the clause in question; or
 - (ii) determine the meaning of the clause when the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the purpose or object underlying the Undertaking, leads to a result that does not promote the purpose or object underlying the Undertaking;
- (n) in determining whether consideration should be given to any material in accordance with paragraph (m), or in considering any weight to be given to any such material, regard must be had, in addition to any other relevant matters, to the:
 - (i) effect that reliance on the ordinary meaning conveyed by the text of the clause would, have (taking into account its context in the Undertaking

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and whether that meaning promotes the purpose or object of the Undertaking); and

- (ii) need to ensure that the result of the Undertaking is to completely address any ACCC competition concerns;
- (o) the ACCC may authorise the Mergers Review Committee, a member of the ACCC or a member of the ACCC staff, to exercise a decision making function under this Undertaking on its behalf and that authorisation may be subject to any conditions which the ACCC may impose;
- (p) in performing its obligations under this Undertaking, AGL will do everything reasonably within its power to ensure that its performance of those obligations is done in a manner which is consistent with promoting the purpose and object of this Undertaking; and
- (q) a reference to:
 - (i) a thing (including, but not limited to, a chose in action or other right) includes a part of that thing;
 - (ii) a party includes its successors and permitted assigns; and
 - (iii) a monetary amount is in Australian dollars.

Schedule 2 – Proposed Independent Auditor Notice

PROPOSED INDEPENDENT AUDITOR NOTICE

This form sets out the information required by the ACCC in relation to the Proposed Independent Auditor.

This form is to be used for each of the above appointments.

Please note in relation to information given on in relation to this form, giving false or misleading information is a serious offence.

METHOD OF DELIVERY TO THE ACCC

The completed Proposed Independent Auditor form, along with the additional requested information is to be provided to the ACCC with the subject line *Proposed Independent Auditor Form – AGL Energy Limited Undertaking* to the below email addresses:

- a. **Email address:** mergers@accc.gov.au
Attention: Executive General Manager
Mergers and Adjudication Group
- b. **With a copy sent to:** mergersucu@accc.gov.au
Attention: Director Undertakings Compliance Unit
Coordination and Strategy Branch
Mergers and Adjudication Group

INFORMATION REQUIRED

The ACCC requires the following information in order to assess a Proposed Independent Auditor.

1) Proposed Independent Auditor Details

Name of the Proposed Independent Auditor	
Name of the Proposed Independent Auditor's employer and contact details	Address:
	Contact name:
	Telephone number:
	Other contact details:

2) Submission containing the following:

a. Details of the Proposed Independent Auditor's qualifications and experience relevant to his or her proposed	
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role pursuant to the Undertaking	
b. Names of the owner/s and the directors (delete any that do not apply) of Proposed Independent Auditor's employer	
c. Details of any of the following types of relationships between AGL and the Proposed Independent Auditor or the Proposed Independent Auditor's employer or confirmation that no such relationship exists whether within Australia or outside of Australia:	
i. AGL and the Proposed Independent Auditor's employer are Associated Entities	
ii. AGL is an Entity Connected with the Proposed Independent Auditor's employer	
iii. The Proposed Independent Auditor's employer is an Entity Connected with AGL	
iv. AGL and the Proposed Independent Auditor's employer are Related Entities	
v. AGL and the Proposed Independent Auditor's employer are Related Parties	
vi. Any Related Party, Related Entity or Entity Connected with AGL is a Related Party, Related Entity or Entity Connected with the Proposed Independent Auditor	
vii. AGL and the Proposed Independent Auditor or the Proposed Independent Auditor's employer have a contractual relationship or had one within the past three years, other than those attached to this form	
viii. the Proposed Independent Auditor's employer is a supplier of AGL or has been in the past three years	

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ix. AGL is a supplier of the the Proposed Independent Auditor's employer or has been in the past three years	
x. Any other relationship between AGL and the Proposed Independent Auditor or the Proposed Independent Auditor's employer that allows one to affect the business decisions of the other	

3) A document outlining the terms of appointment for the Proposed Independent Auditor.

SPECIFIC INFORMATION REQUIRED FOR PROPOSED INDEPENDENT AUDITORS

In relation to the relevant Proposed Independent Auditor, the ACCC also requires the finalised draft audit plan for the AGL business, drafted by the Proposed Independent Auditor and outlining (to the extent possible) the Proposed Independent Auditor's plans in regard to the establishment audit and the Audit Report.

Annexure 1 - AGL Counterparty Trading Arrangements

COUNTERPARTY ACCESS TO TRADING

The AGL Wholesale Energy Risk Management Policy sets, for wholesale electricity counterparties, the credit exposure and maturity limits based upon the credit rating of a counterparty. These limits allow for trading with sub-investment grade counterparties.

Credit exposure and maturity limits

Tier	Credit Rating Range	Exposure Limit Individual (\$m)	Maturity Limit (yrs)
1			
2			
3			
4			
5			
6			

COUNTERPARTY TRADING APPROVAL ASSESSMENT

AGL will assess the creditworthiness of all new counterparties prior to trading electricity derivative contracts with the counterparty (**Counterparty Trading Approval Assessment**).

For the purposes of the Counterparty Trading Approval Assessment:

- (a) If a credit rating is available from any of Standard & Poor's, Fitch Ratings or Moody's then AGL will accept this rating for the purposes of its counterparty credit assessment.
- (b) If a credit rating is not available from the abovementioned ratings agency then AGL will perform an internal counterparty credit assessment.

The AGL Risk Management Committee will review the credit review and credit rating of a counterparty and allocate them financial exposure and maturity limits for the counterparty's tier assigned by the Counterparty Trading Approval Assessment in accordance with the table set out above.

COUNTERPARTY CONTRACTUAL OBLIGATIONS

AGL will only transact with new electricity counterparties following the negotiation and execution of an ISDA Master Agreement. The existence of an ISDA Master Agreement enables traders to proceed with transactions without needing to renegotiate contract legal clauses.

The ISDA Master Agreement entered into by AGL and the Eligible Participant will:

- (a) establish each party's rights to request credit support under defined circumstances; and
- (b) include a credit support annex, which requires a party to provide a guarantee for the Credit Support Amount (via a Bank Guarantee for parties with less than an "A" credit rating) if their credit rating drops below investment grade or is below investment grade at the time of the Counterparty Trading Approval Assessment.

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DEFINITIONS

AGL Risk Management Committee means the executive committee as constituted by AGL's Wholesale Energy Risk Management Policy.

Bank Benchmark Credit Rating means:

- (a) an S&P rating of A-;
 - (b) a Moody's rating of A3; and
 - (c) a Fitch rating of A-,
- provided that if, after the date of this Undertaking, the description or nomenclature of a Ratings Agency's ratings changes, or the manner in which that Ratings Agency's ratings are calculated or derived changes, that Ratings Agency's Bank Benchmark Credit Rating is the rating of that Ratings Agency which after the change most closely corresponds to the relevant rating specified in paragraph (a), (b) or (c) above.

Bank Guarantee means a guarantee from a bank with an office in Australia with a credit rating not less than the Bank Benchmark Credit Rating (as guarantor), in favour of AGL (as beneficiary), in respect of the obligations of the counterparty under the ISDA Master Agreement).

Credit Support Amount means the amount required to reduce the credit exposure to below the credit exposure limit plus a margin based upon a credit exposure change from a market price shift of not greater than \$5MWh.

Fitch means Fitch Inc, Fitch Ratings Ltd or Fitch Ratings Australia Pty Ltd or the successor of any of them.

Moody's means Moody's Investor Services or Moody's Investor Service Pty Ltd or the successor of either of them.

Ratings Agency means S&P, Moody's or Fitch.

Standard & Poors means Standard & Poor's (a division of McGraw-Hill Inc) or Standard & Poor's (Australia) Pty Ltd.

Wholesale Energy Risk Management Policy means the policy titled Wholesale Energy Risk Management Policy approved by AGL's board of directors as amended from time to time.